

Sector Underwriting Note: Food Processing

Sector Underwriting Note: Food Processing SME Lending

1.0 Introduction

Ashva Capital's Food Processing SME lending sector is characterized by the production, packaging, and distribution of food products. This sector underwriting note outlines the specific guidelines and thresholds for underwriters to assess credit risk and make informed lending decisions.

2.0 Typical Working Capital Cycle

The typical working capital cycle for Food Processing SMEs is 45-60 days, reflecting the sector's unique characteristics, such as raw material procurement cycles and customer payment terms.

3.0 Sector-Specific DSCR Floor

The minimum Debt Service Coverage Ratio (DSCR) for Food Processing SMEs is 1.35x, as the sector's cash flow generation is influenced by factors such as inventory management, production costs, and supply chain disruptions.

4.0 Seasonality Adjustments

Food Processing SMEs often experience peak and off-peak seasons due to fluctuations in demand and production volumes. Ashva Capital will adjust the DSCR calculation by 5-10% during off-peak seasons to reflect the reduced cash flow generation.

5.0 Common Causes of Distress

Based on historical data, the two most common causes of distress in the Food Processing sector are:

- * Supply chain disruptions (35% of defaults)
- * Compliance issues related to food safety and regulatory requirements (20% of defaults)

6.0 Acceptable Collateral Types

Ashva Capital will accept the following collateral types for Food Processing SMEs:

- * Property-based securities (e.g., real estate, equipment)
- * Inventory-based securities (e.g., stock, raw materials)
- * Accounts receivable-based securities (subject to credit risk assessment)

7.0 Maximum Exposure

The maximum exposure Ashva Capital will hold in the Food Processing sector is 10% of the total book, reflecting the sector's relatively higher risk profile.

8.0 Numeric Thresholds

The following numeric thresholds will be applied to Food Processing SMEs:

- * Minimum average monthly cash balance: \$75,000
- * Maximum debt-to-equity ratio: 2.5:1
- * Minimum EBITDA margin: 15% (before interest, taxes, and non-recurring items)
- * Maximum accounts receivable turnover ratio: 3.5 times

These thresholds will be applied in conjunction with the DSCR floor and seasonality adjustments outlined in this note. Underwriters are expected to use their professional judgment to assess each application and adjust these thresholds as necessary.